MACROECONOMICS

MACRO-45

Time: 5 minutes

Outcome: Trace how government borrowing can reduce investment and future capacity.

Difficulty: Intermediate

Crowding Out and Capital Formation

THE CORE IDEA

A larger budget deficit reduces public saving and, other things equal, national saving. Loanable-funds supply shifts left, raising the equilibrium real interest rate. Some private investment projects become unprofitable, so investment falls along the demand curve: crowding out. Less investment can slow capital accumulation, productivity growth, and future potential output.

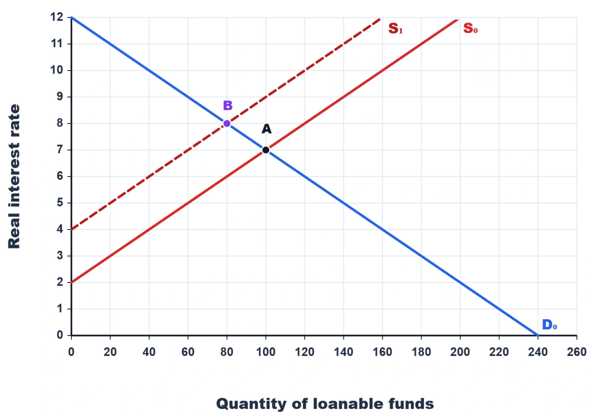
HOW TO RECOGNIZE IT

- Begin with deficit up -> public saving down -> national saving down.
- Lower national saving shifts loanable-funds supply left.
- A higher real rate reduces investment through movement along demand.
- The long-run concern is less capital formation, not an automatic collapse of all investment.

WATCH OUT

Do not say every dollar of deficit eliminates one dollar of investment. The size of crowding out depends on market responses and, in an open economy, international capital flows.

WORKED EXAMPLE: THE COMPLETE CROWDING-OUT CHAIN



The deficit reduces national saving, shifting supply left from S0 to S1. With demand D0 fixed, equilibrium moves from A to B: the real rate rises from 7 to 8 percent and investment falls from 100 to 80. Repeatedly lower investment can leave a smaller future capital stock.

CHECK YOURSELF

Why does a higher real interest rate reduce private investment in this model?

READY? Return to the game and master this concept.